

Disciplined Entrepreneurship Workbook

Step 4: Calculate the Total Addressable Market (TAM) Size for the Beachhead Market

General Exercises to Understand Concept

1. What do you think the TAM is for toothbrushes in the USA? What assumptions did you make in calculating it?
₹8,500 Crore per year.
My Assumptions: India has ~145 crore people. I assume 70% of urban and 40% of rural people actively replace their toothbrush (roughly 85 crore users). Average cost is ₹30 per brush, replaced 3–4 times per year.
Math: ₹30 × 3.5 replacements × 85 Crore people = ₹8,925 Crore.
2. Now what would you estimate as the TAM for high-quality electric toothbrushes that cost \$150 in the USA? What assumptions did you make in calculating it?
My estimate: About ₹640 Crore per year. Only around 8 crore rich urban households will pay ₹800. At ~20% adoption, realistic TAM = ₹640 Crore.

What are the biggest unknowns in your assumptions that you would need to research further?

How fast middle-class Indians will switch from a ₹30 brush to an ₹800 electric one.

Worksheets

Top-Down Estimate of Number of End Users in Beachhead Market

Number of People In Your Largest Demographic or Psychographic Characteristic = _____	Based on End User Profile Characteristic: _____ Assumption(s): _____ Source(s): _____
1st Segmentation Based on End User Profile = _____	Based on End User Profile Characteristic: _____ % of Previous Segment: ____% Assumption(s) for Calculation: _____ Source(s): _____
2nd Segmentation Based on End User Profile = _____	Based on End User Profile Characteristic: _____ % of Previous Segment: ____% Assumption(s) for Calculation: _____ Source(s): _____
3rd Segmentation Based on End User Profile = _____	Based on End User Profile Characteristic: _____ % of Previous Segment: ____% Assumption(s) for Calculation: _____ Source(s): _____
End Users in Beachhead Market = _____	Based on End User Profile Characteristic: _____ % of Previous Segment: ____% Assumption(s) for Calculation: _____ Source(s): _____

I.	One Time Charge Data Point	
Ia	Estimation of price per unit	₹399/month or ₹2,999/year
Ib	Number of units needed per end user	1 subscription per teacher/center
Ic	Average Life Relevant? (assume repurchase)	Yes
Id	Average Life of Product in year	1 year
Ie	Annualized Revenue (Ia*Ib)/Id (Data Point 1)	At target pricing: ₹2,999 per user
II.	Budget Available Data Points	
IIa	Current Spend per end user (Data Point 2)	₹35,000 per year on OMR or paper
IIb	Total budget for the end user	₹1,80,000 per year (excluding salaries).
IIc	What % of budget could go to this solution reasonably?	Up to 15% at target price.
IId	Annualize Revenue (IIb*IIc) (Data Point 3)	9,000 to ₹27,000 per center depending on pricing tier.
III	Comparables	
IIIa	Who are the comparable for your business?	Classplus and Teachmint — both sell B2B software to Indian coaching centers.
IIIb	What are the comparable products?	White-labeled mobile apps and student management web portals that help coaching institutes go online.
IIIC	What is the comparable converted to similar annualize revenue (Data Points 4 plus however many more you deem relevant)	Classplus Starter: ₹19,999/year. Classplus Grow (with test portals): ₹22,999/year. Teachmint Premium: ₹1,00,000+/year for large multi-faculty centers.
IV	Interpreting the Results	
IVa	Consensus on estimate of annualized revenue per end user (a range is fine)	₹799/year (initial promo rate) to ₹2,999/year (standard subscription).
	How did you end up at this number/range?	We are starting with a launch promo of ₹799/year to build trust and onboard early teachers. We will later move to our standard price of ₹2,999/year. This is still 6–7 times cheaper than Classplus, making it highly affordable for local coaching centers.

Now the final items beyond just a beachhead market TAM are the other dimensions that are important to provide more meaning to the overall number. A \$10M beachhead market TAM that has 99% profitability where you can win 100% market share in less than a year, which also happens to be growing at 30% a year, is totally different than a \$10M beachhead market TAM with 10% profitability where you will only get 10% market share after 3 years of effort and the market is shrinking each year.

This information should be collected and then added in to fill out the Top-Down TAM Analysis Summary below to give a robust sense of the economic attractiveness of market characteristics of the beachhead market.

Top-Down TAM Analysis Summary				
1	Total # of end users in the broad market segment	68,181 registered coaching centers India-wide	Source/ Based on:	The Hindu / NTA 2024 data
2	Total # of end users in the targeted sub-segment your BHM	25,000 centers	Source/ Based on:	IJPREMS Research; NTA 2024

3	Annual monetizable revenue per end user	₹799/year (promo) to ₹2,999/year (standard)	Source/ Based on:	testoza.com pricing page & planned B2B SaaS price model
4	Estimate of Top-Down TAM (line 2 times line 3)	₹2 Crore to ₹75 Crore		(25,000 centers × ₹799 to ₹2,999)
5	Estimate of Range of Profitability for Your Product	78%–85% gross margin	Source/ Based on:	Low GCP cloud hosting and Gemini API parsing costs
6	Estimated CAGR (Compound Annual Growth Rate)	15%–20% per year	Source/ Based on:	IBEF: Indian EdTech market growth projections to 2030
7	Estimated Time to Achieve 20% Market Share	3–4 years	Source/ Based on:	Word-of-mouth speed in tight tutoring hubs like tier 1/2/3/4 and even rural areas
8	Anticipated Market Share Achieved if You are Reasonably Successful	12%–15%	Source/ Based on:	Expected penetration in target Tier 2/3 coaching clusters
	What are the 3 top assumptions that could affect the attractiveness of the beachhead market for your product (besides the product itself)?	- Teachers will adopt the tool if they don't have to manually type mathematical equations. - Students in Tier 2/3 cities have basic Android smartphones and decent 4G internet. - Entrance exams (JEE/NEET/RRB/NTPC/SSC...) continue to follow a digital-only format.		

Based on this summary analysis, use the below checklist to assess whether your beachhead market is a good size:

Checklist After TAM Analysis of Beachhead Market			
		Yes	No
1	Is the market big enough to be interesting?	Yes.	
2	Is it reasonable in size for us to achieve meaningful word of mouth, meaning it is not too big?	Yes.	
3	Is it possible to get to cash flow positive in this market in a reasonable period of time (typically 3 years but it might be shorter or longer depending on the	Yes.	

	industry)? Note: This question takes into consideration the extra 4 factors described above		
4	Do I still feel good about this beachhead market as our initial market?	Yes.	

If the answer to any of these is no, consider carefully before you move forward. Many of the high-profile entrepreneurs who have access to significant investment capital, or have a very strong personal balance sheet themselves, can ignore #3, but I would advise you to not ignore this question otherwise. It might be the second most important question for your survival. The most important question is the last one, because if you don't feel good about this market, you need to figure out why.

ADVANCED TOPICS: BOTTOM-UP TAM ANALYSIS

As mentioned, a bottom-up analysis is extremely powerful and gives you invaluable insights that are not generally possible through secondary research. Bottom-up analysis is also very time-consuming and difficult to get information for. If you are unsure about your market or your commitment to this idea, skip this part and come back later when you are more confident about your beachhead market and have a deeper understanding of the market. Most plans rely on top-down analysis, and while I think it's insufficient, it is the reality that bottom-up analysis is much, much harder to do.

The below worksheet uses a concept called "end user density" which allows you to complete a bottom-up analysis without the need to identify every single end user in a market, since that process can be prohibitively expensive in terms of time consumed.

To calculate end user density, you'll first need some way to divide up the market into countable units. For instance, in the SensAble example in *Disciplined Entrepreneurship*, we sold to companies that employed industrial designers, and they defined their countable entity as overall number of employees. Their resulting "designer density" for their market was expressed as the number of designers per thousand employees.

For a consumer product, your countable unit could be population, a specific socioeconomic segment of the population, the number of people who own another product, etc. For businesses it may be number of employees, revenue, products released each year, number of customers that company has, etc. These units depend on your situation. Clever choice of countable unit for density will give credibility to your TAM estimate, so spend some time to optimize your choice on this unit, understanding it is still an estimate.

Once you have defined your countable unit, go to three instances of this unit and "count noses," determine exactly how many end users are within that countable unit. Also determine how many people overall are in that countable unit.

Then, for each instance, determine what the annualized revenue per end user is, based on the unique circumstances of each instance. Do not guess, ask the people from this instance of the countable unit!

[Bottom-Up TAM Analysis Worksheet](#)

What countable unit are you using for end user density? _____

What are three instances of this countable unit you will be using to “count noses”?

1. 2. 3.

	<u>Instance 1:</u> Patna	<u>Instance 2:</u> Sikar	<u>Instance 3:</u> Guwahati
<u>Who did you speak to in order to gather this info?</u>	Director of a Patna JEE complex	Lead Faculty at a Sikar Medical Center	Owner of a Guwahati NEET center
<u># of end users</u>	~200 centers	~180 centers	~160 centers
<u># of people in the countable unit</u>	1 hub	1 hub	1 hub
<u>Density ratio (# end users / # people in countable unit)</u>	200 centers/hub	180 centers/hub	160 centers/hub
<u>How representative of the whole market do you believe this instance is?</u>	High — represents state capitals with large student migration	Very high — proven national NEET performance leader	Representative of growing Tier 2 NE hubs
<u>In this instance, what is your estimate of the annualized revenue per end user?</u>	₹20,000	₹22,000	₹18,000

Based on the above table, what is a reasonable estimate of the end user density? ~180 coaching centers per major educational hub.

What is a reasonable estimate of the annualized revenue per end user? ₹20,000 per center (regular subscription + add-on features).

Based on the end user density, what is a reasonable estimate for the number of end users in the market? 27,000 centers (across ~150 target tutoring hubs in India).

What is a reasonable estimate for the TAM (# end users multiplied by annualized revenue per end user)? ₹54 Crore (27,000 centers × ₹20,000).

Four additional factors to consider:			
Estimate of Range of Profitability for Your Product	78%–85% gross margin	Based on:	Low server costs (GCP) and cheap Gemini API credits per PDF test parsed.
Estimated CAGR (Compound Annual Growth Rate)	15%–20% per year	Based on:	India's test-prep and digital assessment market expansion (IBEF data).
Estimated Time to Achieve 20% Market Share	3–4 years	Based on:	Direct sales, regional channel partners, and teacher-to-teacher word of mouth.
Anticipated Market Share Achieved if You are Reasonably Successful	12%–15% of beachhead	Based on:	Penetrating ~3,000 to 3,750 coaching centers in major hubs to generate ₹9–11 Crore ARR.

1. Comparing your top-down and bottom-up analyses, which do you believe has more credibility?

Why?

I believe the bottom-up analysis has more credibility. Instead of starting with large, abstract national numbers and guessing our share, we directly counted active coaching centers in regional hubs (Patna, Sikar, Guwahati) and spoke to actual stakeholders. The fact that our bottom-up result (₹54 Crore) aligns closely with our top-down target (₹75 Crore) gives us strong confidence in these estimates.

2. If you blend the two estimations, what is your final TAM size? What factors would make the TAM lower than you calculated? What are the factors that would drive the TAM much higher?

Final TAM Size: ₹50 Crore to ₹54 Crore for our immediate Tier 2/3 beachhead market.

Factors that would make the TAM lower:

- Direct resistance from older, traditional teachers who prefer pen-and-paper testing.
- Slow internet connectivity and lack of smartphone access for students in deeper rural sub-districts.
- Heavy adoption of free, basic tools like Google Forms by budget-conscious tutors.

Factors that would drive the TAM much higher:

- Expanding beyond our beachhead to all 68,181 registered coaching centers in India (opening a ₹1,360 Crore total market).
- Transitioning to a B2B2C model where students pay a small monthly subscription (₹99–₹299) for personal AI mentoring and analytics, unlocking the massive ₹10,000+ Crore Indian test-prep market.